

Figure 5.2: Net Present Value (NPV) Table

Year	Net Cash Flow (USD)	Discount Factor (10%)	Present Value (USD)
0	-13,000	1.0000	-13,000.00
1	5,000	0.9091	4,545.45
2	5,000	0.8264	4,132.00
3	5,000	0.7513	3,756.50
4	5,000	0.6830	3,415.00
5	5,000	0.6209	3,103.00

NPV = \$5,953.93 (Positive)

A positive NPV indicates that the project is financially feasible.